

Proposed layout 1

Table 1: Estimated coefficients from log wages regressions

Variable	Dependent variable: <i>Log(Wages)</i>							
	OLS estimation						Structural equation modelling	
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
Education	0.090*** (0.005)	0.090*** (0.006)	0.070 (0.040)	0.089*** (0.005)	0.090*** (0.006)	0.071 (0.040)	0.092*** (0.002)	0.238*** (0.016)
Education ²			0.001 (0.001)			0.001 (0.001)		-0.01*** (0.001)
Conscientiousness				0.059*** (0.018)	-0.004 (0.021)	-0.004 (0.021)	0.051*** (0.002)	0.03*** (0.004)
Age		0.028*** (0.008)	0.114 (0.149)		0.028*** (0.008)	0.115 (0.149)		0.229*** (0.004)
Age ²			-0.002 (0.003)			-0.002 (0.003)		-0.003*** (0.000)
Wealth		0.071*** (0.014)	0.070*** (0.014)		0.071*** (0.014)	0.070*** (0.014)		0.075*** (0.000)
Female		-0.340*** (0.044)	-0.337*** (0.044)		-0.343*** (0.046)	-0.340*** (0.046)		-0.269*** (0.005)
Coloured		0.082 (0.056)	0.082 (0.056)		0.084 (0.057)	0.083 (0.057)		0.138*** (0.002)
Asian/Indian		0.265 (0.184)	0.265 (0.184)		0.265 (0.184)	0.266 (0.184)		-0.493*** (0.045)
White		0.370* (0.158)	0.375* (0.159)		0.371* (0.158)	0.376* (0.159)		0.363*** (0.017)
Constant	6.814*** (0.069)	6.250*** (0.213)	5.296** (1.908)	6.823*** (0.069)	6.248*** (0.213)	5.270** (1.913)	6.781*** (0.099)	3.368*** (0.115)
N	1514	1120	1120	1514	1120	1120		
R-squared	0.171	0.273	0.273	0.177	0.273	0.273		
Adj. R-squared	0.170	0.268	0.267	0.176	0.268	0.267		

Note: *** p<0.001, ** p<0.01, * p<0.05. Standard errors in parentheses.

Proposed layout 2

Table 2: Estimated coefficients from log total income regressions

Variable	Dependent variable: $\text{Log}(\text{Total income})$				
	OLS estimation				
	(1)	(2)	(3)	(4)	(5)
Education	0.088*** (0.005)	0.086*** (0.006)	0.081* (0.032)	0.085*** (0.005)	0.086*** (0.006)
Education ²			0.000 (0.001)		
Conscientiousness				0.126*** (0.017)	0.022 (0.021)
Age		0.067*** (0.008)	0.299* (0.141)		0.067*** (0.008)
Age ²			-0.005 (0.003)		
Wealth		0.089*** (0.016)	0.089*** (0.016)		0.089*** (0.016)
Female		-0.597*** (0.043)	-0.592*** (0.043)		-0.582*** (0.045)
Coloured		0.248*** (0.059)	0.249*** (0.059)		0.240*** (0.059)
Asian/Indian		0.750*** (0.227)	0.747** (0.227)		0.745** (0.227)
White		0.706*** (0.199)	0.716*** (0.199)		0.700*** (0.199)
Constant	6.324*** (0.063)	4.944*** (0.198)	2.079 (1.784)	6.373*** (0.063)	4.951*** (0.199)
N	3276	2308	2308	3276	2308
R-squared	0.092	0.233	0.234	0.106	0.233
Adj. R-squared	0.091	0.231	0.231	0.106	0.231

Note: *** p<0.001, ** p<0.01, * p<0.05. Standard errors in parentheses.

Table 3: Simulation result on full sample without and with controls

Parameter	(1)	(2)
Panel A: Dependent variable: Education		
Constant	11.809*** (0.048)	12.012*** (0.048)
Conscientiousness	0.011*** (0.003)	0.302*** (0.033)
Panel B: Dependent variable: $\text{Log}(\text{Total Income})$		
Constant	6.453*** (0.005)	3.74*** (0.035)
Education	0.095*** (0.003)	0.099*** (0.007)
Conscientiousness	0.107*** (0.002)	0.024*** (0.001)
White		0.463*** (0.045)
Coloured		0.405*** (0.041)
Asian/Indian		0.043*** (0.007)
Female		-0.641*** (0.009)
Age		0.243*** (0.009)
Age ²		-0.009*** (0.000)
Education ²		-0.004*** (0.000)
Wealth		0.133*** (0.006)
Panel C: Standard deviations of error terms		
Conscientiousness	0.675***	0.628*
Education	3.778***	3.795***
Log(Income)	1.028***	0.997***